Murray Grains

Transaction services and accounting

Monthly Management Accounts September 2025

Year-to-date results against budget, three months to 30 September 2025

Prepared for the Board of Directors and prospective financiers

Version 1.0, unaudited management information

Issued 17 October 2025

Reference: MG-MAP-FY26-03

Date: 17 October 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

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Reporting entity	Murray Grains Pty Ltd
ABN	59 263 087 938
Registered office	14 Bookpurnong Road, Loxton SA 5333
Ultimate parent	Mallee Agri Holdings Pty Ltd
Reporting period	Month of September 2025; year to date (YTD) three months to 30 September 2025
Prepared by	Sandra Kowalczyk, Finance Director and CFO
Date of issue	17 October 2025
Version	1.0, unaudited

Document details

1. Summary

The first quarter of FY2026 is the quietest period of the grain cycle. Receivals do not begin until November, so revenue in the quarter comes from carry-in storage fees, outturn and blending fees, and a modest volume of trading book sales from the 2024/25 harvest.

YTD revenue of A$17.6M was A$0.6M (3.3%) below budget. EBITDA of A$1.9M was A$0.1M (5.0%) below budget of A$2.0M. The shortfall arose in storage and handling revenue, partly offset by lower operating costs. Trading margin was on budget at A$0.7M.

- Revenue: A$17.6M actual against A$18.2M budget.
- EBITDA: A$1.9M actual against A$2.0M budget, a margin of 10.8% against a budgeted 11.0%.
- Net debt at 30 September 2025: A$23.4M, with leverage of 1.7x on last twelve months (LTM) EBITDA, against 1.6x at 30 June 2025.
- Interest cover on an LTM basis: 5.9x.
- Management expects leverage to rise to approximately 2.4x at the March quarter peak, against a covenant of 3.0x proposed for the facility under negotiation.

2. Basis of preparation

These accounts are management accounts prepared from the general ledger and have not been audited or reviewed by Halvorsen Brandt Chartered Accountants. The financial year ends on 30 June. FY2025 comparatives are drawn from the audited financial statements released on 26 September 2025. Budget figures are the FY2026 budget approved by the Board. Totals may not add exactly because of rounding.

Net debt is gross borrowings less cash. LTM EBITDA is FY2025 EBITDA of A$14.2M adjusted for the movement in YTD EBITDA against the same quarter of the prior year, giving A$14.1M.

3. Year-to-date results against budget

A$M, 3 months to 30 Sep 2025	Actual	Budget	Variance	Var %
Storage and handling revenue	8.4	8.7	(0.3)	(3.4%)
Trading revenue	9.2	9.5	(0.3)	(3.2%)
Total revenue	17.6	18.2	(0.6)	(3.3%)
Cost of grain sold	(8.5)	(8.8)	0.3	3.4%
Revenue less direct costs	9.1	9.4	(0.3)	(3.2%)
Operating expenses	(7.2)	(7.4)	0.2	2.7%
EBITDA	1.9	2.0	(0.1)	(5.0%)
Depreciation and amortisation	(1.1)	(1.1)	0.0	0.0%
Interest expense	(0.6)	(0.6)	0.0	0.0%
Profit before tax	0.2	0.3	(0.1)	(33.3%)

Table 1: YTD income statement against budget. Brackets denote costs or adverse variances.

Profit before tax is small in absolute terms because the quarter precedes harvest receivals. The variance should be read against the full-year budget, in which EBITDA of A$15.1M is expected to be earned predominantly between November and March.

3.1 Month of September

A$M, September 2025	Actual	Budget	Variance
Total revenue	6.1	6.3	(0.2)
EBITDA	0.6	0.7	(0.1)
Capital expenditure	0.3	0.4	0.1

Table 2: September month result

4. Segment commentary

4.1 Storage and handling

Storage and handling revenue was A$8.4M against a budget of A$8.7M. Carry-in stocks were lower than budgeted at the Pinnaroo and Lameroo sites, where some growers sold early to avoid a further quarter of storage charges. Outturn volumes at Karoonda were in line with budget, supported by rail loadings in August and September. Storage and handling contributed 47.7% of YTD revenue. This compares with 51.7% for FY2025 (A$61.2M of A$118.4M), reflecting the greater weight of trading sales in the off-season.

4.2 Grain trading book

Trading revenue was A$9.2M against a budget of A$9.5M. Cost of grain sold was A$8.5M, giving a trading margin of A$0.7M (7.6%), equal to budget. The remaining inventory is predominantly barley and canola. Management holds no open positions beyond the physical inventory and contracted forward sales. Basis risk between harvest delivery points and sale destinations remains the principal exposure and is monitored weekly.

4.3 Operating expenses

A$M, 3 months	Actual	Budget	Variance
Employee costs (86 FTE)	3.9	4.0	0.1
Repairs and maintenance	1.2	1.2	0.0
Utilities and fuel	0.8	0.8	0.0
Insurance, rates and other	1.3	1.4	0.1
Total operating expenses	**7.2**	**7.4**	**0.2**

Table 3: Operating expenses

The favourable employee cost variance reflects timing of seasonal casual hiring ahead of harvest. This is a timing difference and is expected to reverse in the December quarter.

5. Balance sheet and net debt

A$M	30 Sep 2025	30 Jun 2025
Gross borrowings	26.0	25.6
Cash	2.6	2.8
Net debt	23.4	22.8
Grain inventory	11.5	10.2
Trade receivables	6.8	7.4
LTM EBITDA	14.1	14.2
Net debt / LTM EBITDA	1.7x	1.6x
LTM EBITDA / interest expense	5.9x	5.9x

Table 4: Key balance sheet and credit metrics

Net debt rose A$0.6M in the quarter, driven by inventory build and capital expenditure, partly offset by lower receivables. Gross borrowings and cash are shown for the existing arrangements only. They do not reflect the proposed A$29.0M seasonal working capital and capex facility, which remains subject to credit approval.

6. Capital expenditure

YTD capital expenditure was A$0.9M against a budget of A$1.1M. Maintenance capital of A$0.5M was on budget. Growth capital of A$0.4M compared with a budget of A$0.6M and comprised design, procurement and site preparation costs for the bunker expansion at Pinnaroo and Lameroo. The staged A$9.0M program, which also covers the rail outload upgrade at Karoonda and automated weighbridge and sampling systems across all six sites, will add approximately 60,000 tonnes of capacity. Major contracts will not be released until funding is confirmed. Aldous Pryce Quantity Surveyors Pty Ltd reported on the program on 5 September 2025, and the works must be completed before the 2026/27 harvest.

7. Seasonal outlook and covenant headroom

The FY2026 budget assumes receivals of 1.18 million tonnes, 2.6% above the 1.15 million tonnes received in FY2025. Peak capacity utilisation was 78% in FY2025 across total storage of 640,000 tonnes. Working capital peaks in the March quarter as grain is held for sale, and leverage is forecast to follow the profile in Figure 1.

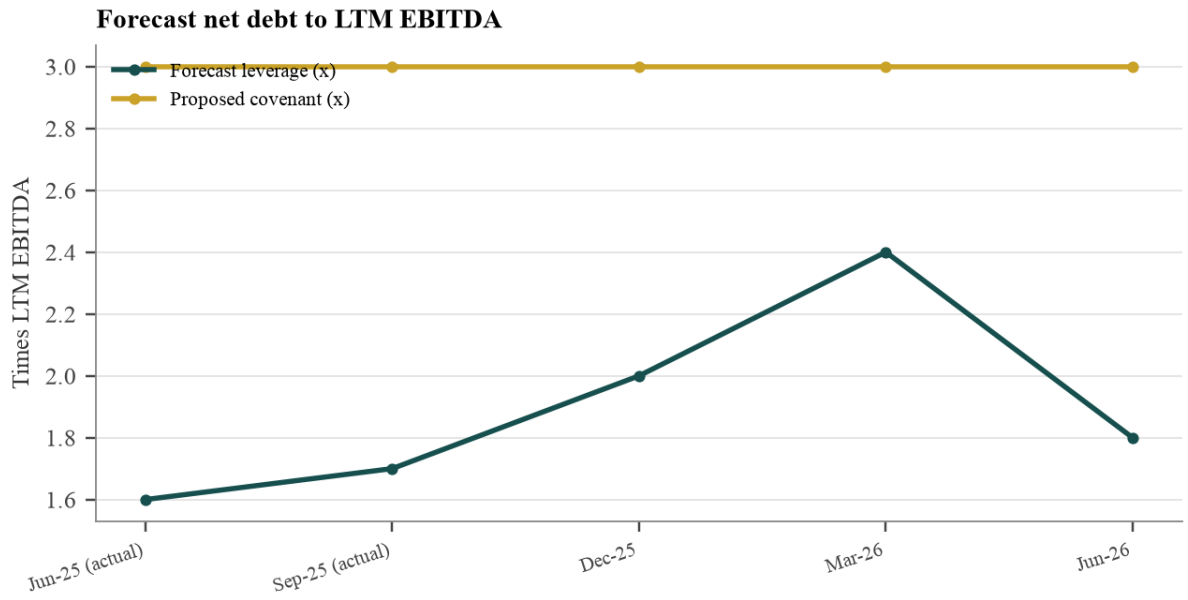


Figure 1: Forecast leverage against the proposed 3.0x covenant. December to June are management forecasts.

At the forecast March peak of 2.4x, LTM EBITDA could fall by approximately 20% before the 3.0x covenant is reached. This is limited headroom for a business exposed to seasonal and weather risk, and management will report leverage monthly through the peak period.

8. Key risks and watch items

- Seasonal and weather risk: a drought or frost year in the Mallee would reduce receivals and storage fee income and could weaken grower liquidity.
- Grain price and trading risk: inventory on the trading book is exposed to price movements and basis risk between harvest and sale.
- Working capital concentration: peak drawings in the March quarter lift leverage to approximately 2.4x against a 3.0x covenant.
- Competition: larger bulk handlers and growth in on-farm storage may erode share, particularly at the Mallee sites.
- Capex execution: bunker and rail works must be completed before the 2026/27 harvest, and cost or timing overruns could delay incremental capacity.
- Key person and governance: customer relationships rely heavily on the Managing Director and a small senior team.

9. Facility process status

Milestone	Date	Status
Information memorandum	4 Aug 2025	Issued
Valuation (Corrigan Whitlock Valuers)	22 Aug 2025	Complete
Quantity surveyor report	5 Sep 2025	Complete
FY2025 audited financials	26 Sep 2025	Released
Management accounts (this pack)	17 Oct 2025	Issued
Term sheet	31 Oct 2025	Pending

Table 5: Facility process milestones

The valuation assessed market value as-is of the six freehold sites at A$68.5M. On the proposed A$29.0M limit, the loan to value ratio is 42.3%.

10. Review and sign-off

Prepared by	Sandra Kowalczyk, Finance Director and CFO
Reviewed by	Graham Tilbrook, Managing Director
Noted by	Ian Rowntree, Independent Non-Executive Chair
Next pack	October 2025, due mid-November 2025

Sign-off